

THE VWAP STRADDLE STRATEGY

The Black line on the above image represents the combined value of a At-The-Money straddle of Bank Nifty and the red line represents the VWAP.

In this strategy, we are going to **sell an At-The-Money straddle of the Bank Nifty at the open** and **use VWAP as a tool to manage our risks**. We are going to use a 5-minute chart and as you can see in the image above, the combined straddle premium is plotted on the 5-minute chart.

